LAST MINUTE TAX TIPS FOR GETTING THE BEST TAX REFUND

LAST MINUTE TAX TIPS FOR GETTING THE BEST TAX REFUND

The end of financial year is looming fast, which means tax preparation time is just around the corner. We quickly search high and low for receipts, income statements and other paperwork.

But the good news is, with a little preparation and organisation, you can maximise your tax return and minimise stress come tax time.

We've put together a tax return checklist of everything you'll need to do your tax and the common tax traps to avoid so that you can also have peace of mind that you won't get yourself under the ATO radar.

Tax checklist – what you'll need

Tax time only comes around once a year and this can mean it can be easy to forget what you need do your tax. Generally speaking, you'll need to gather the following information before you can complete your tax return.

General information

- Your tax file number
- Last year's tax return – not essential, but it will come in handy
- The details of the bank account you'd like any refund deposited into
- Details of your spouse, including their date of birth and taxable income.

Income

It’s essential you declare all your income for the year as the ATO go through a very rigorous income data matching routine. You need to include all of the following information:

- **Income Payment summaries**: PAYG Payment Summaries from your employer and any termination payments
- **Government payments**: For example, Newstart, Youth Allowance or the Disability Pension
- **Bank statements**: That show any interest you’ve earned or fees you’ve paid. We do have access to your ATO prefill interest but generally this is not available until mid-August each year.
- **Shares, unit trusts or managed funds tax statements**: Information on any dividends you’ve received (including dividend reinvestments) or shares you’ve bought or sold
- **Income from your rental property** (see separate free report)
- **Foreign income**: Details of foreign pensions or other foreign income
- **Other income**: Any cash you’ve received, compensation and insurance payments, employee share schemes, prizes and awards.

Expenses

For your specific occupation, the best thing about tax time is claiming various legitimate expenses from throughout the year as tax deductions that reduce our taxable income. If you have relevant proof of purchase, here are some of the expenses you may be able to claim:

- **Work-related expenses**: Software and equipment, books, tools, self-education, travel, uniform, motor vehicle/Union fees, etc.
- **Investment expenses:** Investment borrowing, bank fees, financial advisor fees, etc.
- **Rental property expenses**: Agent fees, rates, body corporate fees, repairs and maintenance, travel, water rates, depreciation schedule, interest on loans, etc.
- **Donations to charities:** Unless you get a ticket to win something in return
- **Insurance costs:** Income protection, sickness and accident insurance and private health insurance
- **Extra superannuation contributions**
- **HELP debt or Financial Supplement loans outstanding**
- **Cost of managing your tax affairs**

5 common tax pitfalls to avoid

These 5 common tax errors could land you in hot water with the Australian Tax Office (ATO).

1. **Not declaring all your income:** If the income you declare is different to the income submitted to the ATO on your behalf by your employer, financial institutions or other sources, the ATO will query the discrepancy. This will hold up your tax return and could lead to other negative outcomes.
2. **Not having a proof of purchase for expenses:** You must be able to prove exactly how much you spent by keeping receipts or other relevant records of your purchase.
3. **Declaring work-related expenses incorrectly:** To claim a work-related expense, you must have paid for it yourself, have relevant proof of purchase, not have been reimbursed for it and only claim the work portion of the cost (if it’s used for both work and personal purposes).
4. **Claiming self-education related expenses incorrectly**: You can only claim self-education expenses if your study is improving your skills or knowledge for your current job and is likely to lead to an increase in income in that role.

5. **Overclaiming for work-related travel**: You can only claim transport, meals and accommodation for the work portion of a trip if it's for both work and personal purposes.

Don't forget the ATO Rules for claiming work-related expenses

To claim a deduction for a work-related expense for your client:

- they must have spent the money themselves and weren't reimbursed
- the expense must be directly related to earning their income
- they must have a record to prove it.

If there was a private component, your client can only claim a deduction for the work-related portion of the expense.

You must have spent the money

You must have incurred the expense in the relevant income year (for example, to claim a deduction in their 2019 income tax return, they must have incurred the expense between 1 July 2018 and 30 June 2019).

Deductibility test

You can only claim deductions for work-related expenses where they were incurred in the course of gaining or producing their assessable income, and are not of a capital, private or domestic nature.

For an expense to be deductible, it must be:

- incurred in performing the client's employment activities – for example, travel, home office and phone expenses
- sufficiently connected to their employment activities – for example, work tools/equipment, eligible clothing and self-education expenses the connection between the expense and your client's income earning activities must be more than remote or minor, and the incurring of the expense not merely peripheral to the activities.

If there was a private component, you can only claim a deduction for the work-related portion of the expense.

Records

You need to demonstrate that an expense is deductible, then substantiation rules must be met.

Rules for written evidence to substantiate deductions

You must have written evidence to prove their claims if the total claims exceed $300. The records must prove the total amount, not just the amount over $300.

The $300 limit does not apply to claims for car expenses, meal allowance, award transport payments allowance, or travel allowance expenses. There are special written evidence rules for substantiating these types of expenses.

Written evidence

The documentation must be in English unless the expense was incurred outside Australia.

The following constitute written evidence.

- A document from the supplier of the goods or services that shows the
  - name of the supplier
  - amount of the expense
  - nature of the goods or services – if not shown, your client may write this on the document before they lodge their tax return
  - date the expense was incurred
  - date of the document.

- Another document or combination of documents containing the information listed above, examples include
  - bank and other financial institution statements
  - credit card statements
  - BPAY reference numbers (may be called receipt or transaction numbers)

    - email receipts
    - PAYG payment summary (may show union fees)
    - paper or electronic copies of documents – must be a true and clear reproduction of the original.

- **Evidence recorded by you**
    - for expenses of $10 each or less, providing the total of these expenses is not more than $200
    - if you have been unable to obtain written evidence, for example, for toll or parking fees where a receipt cannot be obtained.

Each of these items of evidence must show the same details as a document from a supplier as described at the top of this list.

Need more expert tax advice?

Our tax team professionals and friendly staff can make tax time hassle-free while ensuring you get back your fair share of tax. Beware the pitfalls of doing you own tax online using the ATO MyGov.